IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT - 1

ITEM No.111

C.P.(CAA)/42(AHM)2021 in C.A.(CAA)/25(AHM)2021

Proceedings under Section 230-232

IN THE MATTER OF:

Swayambhu Leasing and Finance Limited **.....Applicant**
Himson Knitting Industries Private Limited

.....Respondent

Order delivered on: 21/02/2023

Coram:

Dr. Madan B. Gosavi, Hon'ble Member(J)
Mr.Kaushalendra Kumar Singh, Hon'ble Member(T)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

The case is fixed for pronouncement of order. The order is pronounced in the open court, vide separate sheet.

-SD-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

-SD-

DR. MADAN B. GOSAVI
MEMBER (JUDICIAL)

IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT-I

CP (CAA) 42/AHM/2021 in
CA. (CAA) 25 /AHM/2021

[Application under Sections 230-232 of the Companies Act,2013 read with the Companies (Compromise, Arrangement and Amalgamation) Rules, 2016]

Scheme of Amalgamation

of

M/s. Swayambhu Leasing and Finance Limited
("Transferor Company")

with

M/s. Himson Knitting Industries Private Limited
("Transferee Company")

and

Their respective shareholders and creditors;

In the matter of:

Swayambhu Leasing and Finance Limited
(CIN: U67100GJ1992PLC017902)
Having its Registered Office at:
Hiralal Colony, Ashwani Kumar Road
Surat 395008.

....Petitioner Company 1
(Transferor Company)

Himson Knitting Industries Private Limited
(CIN: U17119GJ1983PTC005995)
Having its Registered Office at:
Hiralal Colony Ashwani Kumar Road
Surat 395008.

....Petitioner Company 2
(Transferee Company)

Appearances:

Mr. Jatin Kapadia, PCS for the Applicant.

Mr. Shiv Pal Singh, Assistant Director for the Regional Director(NWR).

Ms. Pankti Shah, Advocate on behalf of Ms. Maithili Mehta, Advocate for the Income Tax Department.

Order delivered on : 21.02.2023.

Coram: Dr. Madan Bhalchandra Gosavi, Member (Judicial)
Mr. Kaushalendra Kumar Singh, Member (Technical)

ORDER

1. This present joint petition has been filed by the Petitioner Companies under Section(s) 230-232 of the Companies Act, 2013 read with Rule 15 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 seeking approval of the Scheme of Amalgamation of M/s. Swayambhu Leasing and Finance Limited (Transferor Company/Petitioner Company 1) with M/s. Himson Knitting Industries Private Limited (Transferee Company/Petitioner Company 2) [hereinafter referred to as "Petitioner Companies"] and their respective shareholders and creditors with effect from 1st April 2020, being the Appointed Date as mentioned in the Scheme.

2. An affidavit in support of the above Joint petition has been sworn by Mr. Devendra Pannalal Bachkaniwala on behalf of the Petitioner Companies who is the Director and authorized representative of the Petitioner Companies, the same is annexed with the application. The above named authorized representative for the Petitioner Companies has been authorized vide Board Resolutions dated 30.11.2020.

3. The Petitioner Companies had filed a joint Company Application before this Tribunal being CA (CAA) No. 25 (AHM) of 2021; sought dispensation of the meetings of the Equity Shareholders of the Transferor Company and

Transferee Company and the meeting of the Unsecured Creditors of the Transferee Company. This Tribunal vide order dated 05.07.2021 dispensed the meetings of the Equity Shareholders of the Transferor Company and Transferee Company and meeting of the Unsecured Creditors of the Transferee Company. Since there are no secured creditors in the Transferor Company and Transferee Company, it was held that no meetings of the Secured Creditors of the Transferor Company and Transferee Company were necessary. Further, since there are no unsecured creditors in the Transferor Company, it was held that no meeting of Unsecured Creditors of the Transferor Company was necessary.

4. By the order dated 05.07.2021, passed in CA (CAA) No. 25 (AHM) of 2021, this Tribunal had directed the Applicant Companies to serve Notice of the Scheme in compliance with Section 230(5) of the Companies Act, 2013 in the Form 'CAA-3' along with disclosures mentioned under Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 to (i) Central Government through the Regional Director, North Western Region, (ii) the Registrar of Companies, Gujarat (iii) the concerned Income Tax authorities (iv) Official Liquidator(in respect of the Transferor Company) and (v) Reserve Bank of India stating that representations, if any, to be made within a period of 30 days from the date of receipt of such notice, and in case no representation is received by this Tribunal within the stipulated period of 30 days, it should be presumed that the authorities have no representation to make. In compliance with the order dated 05.07.2021,the Petitioner Companies have served notices to the Central Government through the Regional Director, North-Western Region on 16.07.2021, the Registrar of Companies, Gujarat on 16.07.2021, the concerned Income Tax Authorities on 15.07.2021 and the Official Liquidator (in respect of the Transferor Company) on 16.07.2021, Reserve Bank of India on 16.07.2021. The Petitioner Companies have filed compliance affidavit of service dated 27.07.2021 before this Tribunal.

5. The Petitioner Companies have jointly filed the present Company Petition being CP (CAA) No. 42/AHM of 2021 before this Tribunal seeking sanction of the Scheme.

6. This Tribunal by order dated 21.09.2021 admitted the present petition and directed the Petitioner(s) for publication of hearing in two newspapers "Indian Express" in English Surat Edition and "Gujarat Guardian" in Gujarati, Surat Edition, not less than 10 days before the date fixed for hearing, , calling for objections, if any, on or before the date of hearing. This Tribunal also directed to issue notice of hearing of the petition to (i) Central Government through Regional Director, North-Western Region, (ii) Registrar of Companies, (iii) Official Liquidator and (iv) Income Tax Authorities.

7. Pursuant to the order dated 21.09.2021 passed by this Tribunal, the Petitioner Companies have published the notice of hearing of the company petition in "Indian Express" in English, Surat edition and Gujarati translation thereof in "Gujarat Guardian" Surat Edition, on 30.11.2021. The compliance affidavit dated 06.12.2021, the Petitioner Companies have filed before this Tribunal confirming the publication of the notice in the newspapers as directed and also the notice of hearing of the petition being served upon the concerned statutory authorities.

8. In response to the notice of hearing served upon the Regional Director(RD), North Western Region, it has filed its representation dated 12.10.2021 before this Tribunal, wherein there is no adverse observation in respect of sanctioning and approving the proposed Scheme of Amalgamation. However, the RD has prayed for directions to the Petitioner Companies to comply and give clarification with respect to the following:

> a. The first observation is with regard to payment of difference of amount of fee which is payable on the enhances Authorized Capital and compliance of provisions of Section 232(3)(i) of the Companies Act, 2013.

b. The second observation is in respect of the clarification(s) sought from the Petitioner Companies to the observations made by the office of RoC mentioned as under:

i) At paragraph 14(2) of RoC, the observation is in respect of compliance for the sub-division of face value of the shares under the MCA portal as per Section 61 r.w. Section 64 of the Companies Act, 2013.

ii) At paragraph 14(3) of RoC, the observation is in respect of compliance for payment of difference of amount of fee which is payable on the enhanced Authorised Capital.

iii) At paragraph 14(4) of RoC, the observation is in respect of compliance for filing relevant e-form i.e. MGT-14 for alteration of main object of the Transferee Company and to follow the procedure laid down in section 13 of the Companies Act, 2013.

iv) At paragraph 14(5) of RoC, the observation is in respect of clarification regarding the Transferor Company failed to file e-form PAS-6.

v) At paragraph 14(6) of RoC, the observation is in respect of compliance for filing of e form GNL-1 by the Petitioner Companies under the MCA portal.

vi) At paragraph 14(7) of RoC, the observation is in respect of compliance for necessary stamp duty on transfer of property/Assets is to be paid to the respective Authorities.

9. The Petitioner Companies filed a common additional affidavit dated 06.12.2021 in response to the representation of Regional Director dated 12.10.2021, giving response to each of the above observations:

a. In response to the first representation, it is submitted that the Petitioner Companies undertake to pay the requisite amount of fee, stamp duty, registration fees if any, in accordance with the provisions of the Companies Act, 2013, rules framed there-under or any other law in force and the same has also been provided in clause 3(j) of the Scheme.

b. In response to the second representations from the office of RoC, Ministry of Corporate Affairs are mentioned as under:

i) With regard to paragraph 14(2) of RoC's report, the Petitioner Companies undertake to file necessary compliance including filing of the said e-form MGT-14 in accordance with the provisions of the Companies Act, 2013, rules framed there-under and the same has also been provided in clause 3(j) of the Scheme.

ii) With regard to paragraph 14(3) of RoC's report, the Petitioner Companies submitted that the observations of the RoC are similar to that of the first observation of Regional Director as stated in above paragraph (a) and therefore the same is not required to be dealt separately.

iii) With regard to paragraph 14(4) of RoC's report, the Petitioner Companies submitted that under the accepted principles of "Single Window Clearance" no separate procedure as stipulated under the Companies Act, 2013 is required to be followed. Moreover, the Petitioner

Companies has already taken the requisite consent of the shareholders as required under the provisions of the Companies Act, 2013 and the same has also been provided in clause 3(k) of the Scheme. The Petitioner Companies undertake to file necessary compliance including filing of the said e-form MGT-14 in accordance with the provisions of the Companies Act, 2013, rules framed there-under.

iv) With regard to paragraph 14(5) of RoC's report, it is submitted that the Petitioner Companies held the shares in physical form and filing of e-form PAS-6 without ISIN is not possible. However, the Petitioner Companies undertake to comply the same in accordance with the provisions of the Companies Act, 2013, rules framed there-under or any other law in force.

v) With regard to paragraph 14(6) of RoC's report, it is submitted that the Petitioner Companies have filed the said e-form GNL-1 under the MCA portal.

vi) With regard to paragraph 14(7) of RoC's report, It is submitted that the Petitioner Companies undertake to pay the requisite amount of the stamp duty, if any, in accordance with the provisions of the applicable law in force.

10. In response to the notice of hearing served upon the Official Liquidator(OL), the OL made its representation letter dated 20.09.2021 with respect of Transferor Company, wherein the OL has prayed for directions to be issued to the Transferor Company to preserve its books of accounts, papers and records which shall not be disposed of without prior permission of Central Government as per the provision of Section 239 of the Companies

Act, 2013; to ensure statutory compliance with the provisions of Section 232(5) of Companies Act, 2013 and all applicable laws and also on sanctioning of the present scheme, the Transferor Company shall not be absolved from any of its statutory liability, in any manner and direct to lodge a certified copy of order along with the scheme, with the concerned Superintendent of Stamps for the purpose of adjudication of stamp duty payable, if any.

In response to the observations, the Petitioner Companies filed a common additional affidavit dated 06.12.2021 in response to the representation of OL dated 20.09.2021, the Petitioner Company 2/Transferee Company undertakes to preserve the books of accounts, papers and records of Transferor Company and stated that those shall not be disposed without the prior permission of the Central Government as per the provisions of section 239 of the Companies Act, 2013; to ensure statutory compliance under all applicable laws; pay the requisite expenses towards cost of proceedings and related office expenses to the Official Liquidator and filing of certified copy of the order sanctioning the Scheme with the statutory authorities as directed by this Tribunal.

11. In response to the notice of hearing served upon the Income Tax Authority, the Office of the Deputy Commissioner of Income Tax Officer,Circle 1 (1) (1), Surat, filed a letter dated 01.02.2021, through its Ld. Counsel, made the following observations as under :

a) It is observed that the proposed Scheme is against the public policy and the same is required to be contested.

b) In paragraph 2 of the letter, it is stated that the Income Tax Department was not given any details about valuation report of Transferor Company, shareholding structure of Transferor and Transferee Companies and the overall outcome of the merger in terms of public interest.

c) In paragraph 3 of the letter, it is stated that the companies are closely held and since tax payable on the Capital gain arising on transfer of Capital assets is not ascertainable and whether amount distributed by the amalgamated company is subject to dividend distribution tax under Section 115O of the IT Act cannot be ascertained from the notice under Section 230-232 of the Companies Act, 2013 furnished by the assessee.

d) In paragraph 4 of the letter, it is stated that advancement of public interest has been one of the defining criteria while approving of amalgamation of mergers under the Companies Act, 2013; that it should not be only for avoidance of Tax or benefitting only to some members.

12. In response to the observations of the Income Tax Department, the Petitioner Companies had filed a reply affidavit dated 09.06.2022 giving response to each of the above observations which are as under:

a. The Petitioner Companies have stated that the Scheme of amalgamation between the Petitioner Companies is not liable to be rejected on the ground that the Scheme of amalgamation is against public interest.

b. With regard to paragraph 2 of the aforesaid observations, it is submitted that the Petitioner Companies already furnished the copy of the scheme, wherein the details of the shareholding structure of the Transferor and Transferee Companies and overall outcome of the merger in terms of the Public interest are already mentioned. However, the Petitioner Companies is furnishing the said requisite information to the

Income Tax Department again and the copy of the same is annexed as Annexure-A.

c. With regard to paragraph 3 of the aforesaid observations, Petitioner Companies submitted that Section 115O of the Income Tax Act, 1962 has been scraped with the passing of the Finance Act, 2020 effective from 01.04.2021. Hence, the contents averred regarding the applicability of Section 115O and/or the non-ascertainability of capital gains tax are hypothetical situations not applicable to the present case.

d. With regard to paragraph 4 of the aforesaid observations Petitioner Companies submitted that the merger is not against public interest and for avoidance of the tax. The rationale of scheme was specifically mentioned in the scheme which is submitted with this Tribunal as well as the Statutory Authorities and other stake holders. Even otherwise, the effect of taxation shall be in compliance with the Income Tax Act, 1961 as mentioned in the Scheme.

Further, this Tribunal directed the Income Tax Department in its order dated 28.11.2022, to give no objection, if any, and in response to the aforesaid direction the Office of Asst. Commissioner of Income Tax Officer, Circle 1 (1) (1), Surat, filed a letter dated 29.11.2022, through its Ld. Counsel, wherein it is stated that except subject to payment of outstanding demand of Rs. 2,080/-, Rs. 2,450/- and Rs. 10/- for the A.Y 2008-09, 2012-13 and 2011-12 respectively in case of Swayambhu Leasing and Finance Ltd., there is no other proceeding pending against the Transferor Company.

13. Considering the above affidavits in reply filed by the Petitioner Companies, the observations made by the RD in its representation dated 12.10.2021, the representation of OL dated 20.09.2021, the representation

of Income Tax Department dated 28.03.2022 and 19.12.2022 stands satisfied.

14. No representation has been received from any other statutory authorities.

15. The Petitioner Companies have placed on record a copy of the Valuation Report dated 05.02.2021 issued by Mr. Akash Premkumar Agarwal (Reg No. IBBI/RV/06/2020/12862), Registered Valuer.

16. The Petitioner Companies have stated in the Petition that no investigation or proceedings against the Petitioner Companies under Section(s) 210 to 226 of the Act as well as Sections 235 to 251 of the Companies Act, 1956 or the like are pending.

17. The Petitioner Companies have stated in the Petition that no winding up petition is pending in any Court or Tribunal in India against the Petitioner Companies.

18. In compliance with the proviso to clause (e) of sub-section (7) of Section 230 of the Companies Act, 2013, certificate from the statutory auditor of the Transferee Company dated 15.03.2021, is placed on record confirming that the accounting treatment as proposed under the Scheme is in conformity with the applicable Accounting Standards prescribed under section 133 of the Companies Act, 2013.

19. The Petitioner Companies have stated in the Petition that the provisions of the Competition Commission Act, 2002 is not applicable to the present Scheme.

20. The Petitioner Companies have stated in the Petition that the Petition does not in any way violate, override or circumscribe any provisions of the Companies Act, 2013 and the Rules made there-under.

21. Heard Learned PCS Mr. Jatin Kapadia for the Petitioner Companies, also gone through the records and affidavits filed by the Petitioner Companies.

22. On the basis of above the facts and submissions made by the Learned PCS and by considering the entire facts and circumstances of the aforesaid company petition and on perusal of the Scheme and the proceedings, it appears that the requirements of the provisions of section 230 and 232 are satisfied by the Petitioner Companies. We are of the considered view that the proposed Scheme of Amalgamation is bona fide and in the interest of the shareholders and creditors. In the result, Company Petition No. C.P. (CAA) No.42/AHM/2021 is allowed. The Scheme envisages amalgamation of M/s. Swayambhu Leasing and Finance Limited with M/s. Himson Knitting Industries Private Limited and their respective shareholders and creditors. It is declared that the said sanctioned Scheme shall be binding on the Petitioner Companies and their shareholders, creditors and all concerned under the Scheme.

23. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the Scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the Petitioners.

24. While approving the Scheme as above, we further clarify that this order should not be construed as an order in granting any exemption from payment of stamp duty, taxes including income tax, GST etc. or any other charges, if any, and payment in accordance with law or in respect of any permission/compliance with any other requirement which may be specifically required under any law.

25. This Tribunal orders as under:-

ORDER

i. The Scheme of Amalgamation as annexed herewith as **"Exhibit-A"** is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their respective shareholders and creditors and all concerned under the Scheme.

ii. It is declared that the Transferor Company shall be dissolved without winding up.

iii. All the property annexed herewith as **"Annexure B"** , right and powers of the Transferor Company specified in the schedule hereto and all the other property, rights and powers of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Act become the assets of the Transferee Company.

iv. Upon this Scheme coming into effect, the Transferor Company shall stand merged with and be vested in the Transferee Company, as a going concern, without any further act or instrument and pursuant to the provisions of the Act.

v. Upon coming into effect of this Scheme and in consideration of the amalgamation of each of the Transferor Company in the Transferee Company:

(a) Upon the scheme becoming finally effective, in consideration of the transfer and vesting of the Transferor Company in the Transferee Company in terms of the Scheme, the Transferee Company shall

subject to the provisions of the Scheme and without any further application or deed, issue New Equity Share and allot 1 (one) Equity Share of Rs. 100/-each, credited as fully paid-up in the capital of the Transferee Company for every 196.40 equity shares of the Transferor Company to all Equity Shareholders of the Transferor Company whose names appear in the Register of Members, on a record date to be fixed by the Board of the Transferee Company.

(b) Upon the Scheme becoming finally effective, and after giving the effect of clause (a), the authorised share capital of the Transferee Company shall stand sub-divided from Rs. 100/- each to Rs. 10/- each and the issued, subscribed and paid up share capital of the company shall also stand at 3,42,510 equity shares of Rs. 10/- each. The Board of Directors of the Transferee Company consequent on sanction of the scheme of amalgamation, shall appoint a record date for surrender of the old share certificates of Rs. 100/- each for exchange of 10 new equity shares of Rs. 10/- each for every 1 old equity share of Rs. 100/- each.

(c) In the event that the equity shares to be issued result in fractional entitlements, the Board of directors of the Transferee Company shall be empowered to consolidate and/or round off such fractional entitlements into a whole number of equity shares to an integer in a manner to ensure that only 2444 number of fully paid equity shares of Rs. 100/- each are issued to the shareholders of the Transferor Company. Since the equity shares of Rs. 100/- each of the Transferee Company is sub-divided upon the

sanction of the Scheme into equity shares of Rs. 10/- each, the Transferee Company shall allot 24440 equity shares in total to the shareholders of the Transferor Company.

(d) The equity shares of the Transferee Company to be issued and allotted as above shall be subject to the Memorandum and Articles of Association of Transferee Company and shall rank pari-passu with the existing equity shares of Transferee Company in all respects. The shares of the Transferor Company held by its equity shareholders (both in physical form), shall, without any further application, act, instrument or deed, be deemed to have been automatically cancelled. The said equity shares of Transferor Company held in physical form shall be deemed to have been automatically cancelled without any requirement to surrender the certificates for shares held by the shareholders of the Transferor Company.

vi. All the liabilities and duties of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall be pursuant to Section 232 of the Act become the liabilities and duties of the Transferee Company.

vii. All proceedings now pending by or against the Transferor Company, if any, be continued by or against the Transferee Company.

viii. The Petitioner Companies within thirty days of the date of receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on

such certified copy being so delivered, the entire Undertaking of the Transferor Company shall stand transferred to the Transferee Company and the Registrar of Companies shall place all documents relating to the Transferor Company to the file kept by him in relation to the Transferee Company and the files relating to the said companies shall be treated accordingly. The Petitioner Companies are directed to file a copy of this order along with a copy of the Scheme of Amalgamation duly authenticated by the Registrar of this Tribunal, with the Registrar of Companies, Gujarat electronically, along with Form INC -28 in addition to physical copy as per relevant provisions of the Companies Act, 2013.

ix. Upon Scheme being effective, the Authorised Capital of the Transferor Company shall be consolidated with the Authorised Capital of the Transferee Company as envisaged under the Scheme.

x. All concerned Authorities to act on the copy of this order along with Scheme authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme immediately.

xi. The Petitioner Companies are directed to lodge a copy of this Order and the approved scheme duly authenticated by the Registrar of this Tribunal, with the concerned Superintendent of Stamps, for adjudication of stamp duty, if any, within 60 days from the date of the order.

xii. The legal fees and expenses of the office of the Regional Director are quantified at Rs.15,000/-in respect of each of the Petitioner Companies. The said fees to the Regional Director shall be paid by the Transferee Company.

xiii. The legal fees and expenses of the office of the Regional Director are quantified at Rs.10,000/-in respect of the Transferor Company. The aforementioned legal fees and expenses to the Official Liquidator shall be paid by the Petitioner Transferee Company.

xiv. Filing and issuance of drawn up orders are dispensed with. All concerned authorities to act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the authenticated copy of this order alongwith Scheme immediately.

xv. Any person aggrieved shall be at liberty to apply to the Tribunal in the above matter for any direction that may be necessary.

26. The Company Petition CP (CAA) 42/AHM/2021 connected with CA. (CAA) 25/AHM/2021 is allowed and disposed of accordingly.

-SD- -SD-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

DR. MADAN B GOSAVI
MEMBER (JUDICIAL)

Sapna

Annexure "A"

Exhibit-G

189

SCHEME OF AMALGAMATION
(IN THE NATURE OF MERGER)

OF

SWAYAMBHU LEASING AND FINANCE LIMITED
("Transferor Company" or "SLFL")

WITH

HIMSON KNITTING INDUSTRIES PRIVATE LIMITED
("Transferee Company" or "HKIPL")

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

UNDER SECTION 230 TO 232 OF THE COMPANIES ACT 2013

For Swayambhu Leasing and Finance Limited

Director

For Himson Knitting Industries Private Limited

Director

NATIONAL COMPANY LAW TRIBUNAL * AHMEDABAD *

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ADVOCATE

(212)
(190)

PREMABLE

This Scheme of Amalgamation ("Scheme", as defined below) provides for the amalgamation of Swayambhu Leasing and Finance Limited/ Transferor Company (as defined below) with and into Himson Knitting Industries Private Limited Transferee Company (as defined below) pursuant to the provisions of Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 and rules made thereunder read with section 2(1B) of the Income Tax Act, 1961(as defined below). This Scheme also provides for various other matters consequential thereto or otherwise integrally connected therewith.

This Scheme is divided into the following parts:

PART I WHICH DEALS WITH DESCRIPTION OF THE COMPANIES AND RATIONALE OF THE SCHEME

PART II WHICH DEALS WITH THE DEFINITIONS, INTERPRETATIONS AND SHARE CAPITAL OF THE TRANSFEROR COMPANY AND THE TRANSFEREE COMPANY;

PART III WHICH DEALS WITH THE AMALGAMATION (IN THE NATURE OF MERGER) OF THE TRANSFEROR COMPANY INTO THE TRANSFEREE COMPANY

PART IV WHICH DEALS WITH THE GENERAL TERMS AND CONDITIONS AS APPLICABLE TO THIS SCHEME

PART I

1. DESCRIPTION OF THE COMPANIES AND RATIONALE OF THE SCHEME

BRIEF DESCRIPTION OF THE TRANSFEROR COMPANY:

The Transferor Company (as defined below) is an unlisted public limited liability company incorporated under the provisions of the Companies Act, 1956 under the name and style "Swayambhu Leasing and Finance Limited" on 26th June, 1992 having its registered office at Hiralal Colony, Ashwani Kumar Road Surat 395008. The Corporate Identification Number (CIN) of the Transferor Company is U67100GJ1992PLC017902. The name of the Transferor Company has remained unchanged since the incorporation.

The main objects for which the Transferor Company was originally incorporated are stated as under:

1. To carry on the business of finance company and to finance and to assist in financing any person, firm, body corporate, institutions, associations, organisations, corporations and societies for whatsoever purposes including acquisition of shares stocks, debentures, bonds, obligations, units, securities and other investments with or without interest and/or security and also to provide and to assist in providing long term loans/short term loans, participations in equity/preference capital.

2. To carry on the business to and to assist in financing hire purchase, deferred payment and instalment sale, of whatsoever items and merchandise whether domestic commercial and industrial

For Himson Knitting Industries Private Limited
Director

For Swayambhu Leasing and Finance Limited
Director

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items and of whatsoever nature such as consumables, consumable durables/or immovable properties of every kind.

3. To carry on business of providing long term finance to any person or persons, company or corporations, society or association of persons with or without interest and with or without any security for the purpose of enabling such borrower to construct/purchase any house or any part or portions thereof and also flats/apartments anywhere in India for residential purposes and also commercial premises such as office blocks, shops, warehouses, tankages and also premises for purpose such as running of hospitals/asylums/nursing homes on such terms and conditions as the Company may deem fit.

4. To carry on and undertake the business of trading, hire purchase, leasing and to finance lease operations of all kinds, purchasing, selling, hiring or letting on hire all kinds of plants and machineries and equipments that the Company may think fit and to assist in financing of all and every kind and description of hire purchase or deferred payment or similar transactions and to subsidise, finance or assist in subsidising or financing the sale and maintenance of any goods, articles or commodities of all and every kind and description upon any terms whatsoever and to purchase all forms of immovable and movable properties, including land and buildings, plants and machineries, equipments, ships, aircrafts, automobiles, computers and all consumers, commercial and industrial items and to lease them in any manner whatsoever including resale thereof, regardless of whether the property purchased and leased to be new and/or used.

For Himson Knitting Industries Private Limited
Director

The Transferor Company commenced its business vide certificate of commencement dated 04.08.1992 but the Transferor Company did not pursue the main objects for various reasons and have made some investment in unlisted companies/listed companies. The Transferor Company is not registered with the Reserve Bank of India nor had received any license in the past year.

The main object of the Transferor Company was amended in the Extra Ordinary General Meeting held on 13th July, 2020 to achieve the following object:

To undertake and carry on the business of Equipment Leasing, Leasing of immovable and movable properties of all kinds and description and right, title and interest therein and Leasing of all kinds of goods and articles (including Plants, Machinery, Vehicles, Ships, Vessels, Air-crafts, Apparatuses and Computers) whether required for consumption or for commercial, industrial or business use or for any purpose whatsoever.

For Swayambhu Leasing and Finance Limited
Director

To carry on the business of leasing, letting on hire, hire purchase or easy payment system for movable and or immovable properties including godowns, sheds, buildings, stores, flats, warehouses, shops, hotels, factories, garages, plants and machines, equipment, apparatus, instruments, appliances, furniture, fixtures, fittings, utensils, tools, vehicles, earth moving machines installations.

To carry on the business of financial and investment consultants, finance brokers, stock brokers, underwriters, registrars, issue house, portfolio management and to invest or subscribe for purchase or otherwise acquire and sell, dispose of, exchange, hold

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and otherwise deal in shares or other securities issued by any company or any authority Central, State, Municipal Local or otherwise.

The present main objects of Transferor Company do not require any approval from Reserve Bank of India.

BRIEF DESCRIPTION OF THE TRANSFEREE COMPANY:

The Transferee Company (as defined below) is a private limited liability company incorporated under the provisions of the Companies Act, 1956 under the name and style "Himson Knitting Industries Private Limited" on 11th March, 1983having its registered office at Hiralal Colony, Ashwani Kumar Road Surat 395008. The Corporate Identification Number(CIN) of the Transferee Company is U17119GJ1983PTC005995. The name of the Transferee Company has remained unchanged since its incorporation.

The main object for which the Transferee Company was incorporated are stated as under:

1.To carry on business comprising all activities connected with manufacture of art-silk cloth or other fabrics from yarn;

2.To carry on business as manufacturers of and dealers in all kinds of man-made and synthetic fabrics;

3.To carry on business of weaving, twisting, printing, processing, dyeing, knitting and weaving and to carry on all activities connected with converting synthetic yarn into final products;

4.To carry on business of manufacturing, processing, bleaching, dyeing, printing, knitting, weaving connected with any of fibre such as art-silk, as art-silk, cotton, wool, jute and synthetic (yarns) and dealing in all kinds of fabrics;

The main object for which the Transferee Company was incorporated has remained unchanged since the incorporation.

a. **Details of the relationship between the Transferor Company and the Transferee Company**: The Transferor Company and the Transferee Company are part of the same management and the directors of both the companies are the same. The registered office of the Transferor Company and the Transferee Company are also situated at the same premises.

Details of the Directors of the Transferor Company

S.No	Name and Residential Address of the Director	DIN	Designation
1	Devendra Pannalal Bachkaniwala 13/25, Himson Bunglow Opp:Umra Jakat Naka, Athwalines Parle Point , Surat-395007	00128590	Director

For Swayambhu Leasing and Finance Limited
Director

For Himson Knitting Industries Private Limited
Director

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2	Ramagauri Pannalal Bachkaniwala 13/25, Himson Bunglow Near UmraJakat Naka, Athwalines Parle Point , Surat-395007	00128403	Director
3	Bhavnaben Devendra Bachkaniwala 13/25, Himson Bunglow Near Umra Jakat Naka, Athwalines Parle Point , Surat-395007	08061564	Director

Details of the Directors of the Transferee Company

S.No	Name and Residential Address of the Director	DIN	Designation
1	Devendra Pannalal Bachkaniwala 13/25, Himson Bunglow Opp:UmraJakat Naka, Athwalines Parle Point , Surat-395007	00128590	Director
2	Ramagauri Pannalal Bachkaniwala 13/25, Himson Bunglow Near Umra Jakat Naka, Athwalines Parle Point , Surat-395007	00128403	Director
3	Bhavnaben Devendra Bachkaniwala 13/25, Himson Bunglow Near Umra Jakat Naka, Athwalines Parle Point , Surat-395007	08061564	Director

For Swayambhu Leasing and Finance Limited
Director

For Himson Knitting Industries Private Limited
Director

RATIONALE OF THE SCHEME:: Both the Transferor Company and the Transferee Company are managed by the same family members and accordingly the business of the Transferor Company can be merged with the Transferee Company conveniently and can be carried on more advantageously and therefore no useful purpose is being served by operating two separate legal entities.

Further, the Transferor Company for more than 10 years has no business activity (other than the investment made in the listed/unlisted company) and as on date, does not owe any liability nor has any employees and accordingly, if the Transferor Company is merged with

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the Transferee Company there will not be any adverse effect on the Transferee Company.

The merger under this Scheme will be beneficial to the Transferor Company and the Transferee Company and the rationale for the Scheme is as under:

- The scheme shall provide an opportunity to leverage combined assets and build a stronger sustainable business. Specifically, the scheme will enable optimal utilization of existing resources and provide an opportunity to fully leverage assets, capabilities, experience and infrastructure of the company;

- Reduce the managerial overlaps involved in operating multiple entities; ease and increase operational and management efficiency; integrate business functions; eliminate duplication and rationalization of administrative expenses, reduce regulatory compliance and multi-layer taxation of inter-se transaction leading to synergies in operations achieving efficiencies and economies of scale;

- Greater efficiency in cash management of the Transferee Company and unfettered access to cash flow generated by the combined businesses which can be deployed more efficiently to fund organic and inorganic growth opportunities to maximize shareholder value;

- Cost savings are expected to flow from more focused operational efforts, rationalization, standardization and simplification of business processes, productivity improvements, improved procurement, etc.;

- Better value creation for the shareholders of the company and improved competitive position of the combined entity in the market.

Thus, as a whole the proposed scheme is proposed to the advantage of the Transferor Company and the Transferee Company and will have beneficial results for the said Companies and the same is not prejudicial to the interest of the shareholders, creditors or the employees of the Transferee Company.

For Swayambhu Leasing and Finance Limited
Director

For Himson Knitting Industries Private Limited
Director

PART II

2. DEFINITIONS, INTERPRETATIONS AND SHARE CAPITAL OF THE TRANSFEROR COMPANY AND THE TRANSFEREE COMPANY;

DEFINITIONS:

In this Scheme, unless inconsistent with the meaning or context, the following expressions shall have the following meanings:-

a. "Act" shall mean the Companies Act, 2013, as may be amended from time to time and any statutory modification or re-enactment thereof.

b. "Applicable Law" shall mean any applicable national, local or other laws, statutes, ordinances, regulations, guidelines, policies, order, ruling, judgment and other pronouncements having the effect of laws of the applicable jurisdiction or jurisdictions, as the case may be, enacted, issued or promulgated by Governmental Authority as may be prevalent at the relevant time.

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c. "Appointed Date" for the purpose of this Scheme and for Income Tax Act, 1961 shall mean April 1, 2020 or such other date as may be fixed or approved by the Hon'ble NCLT (as defined below).

d. "Articles of Association/ "AOA" in relation to the Transferor Company and the Transferee Company, as the case may be, means the articles of association of such Company as amended up to date;

e. "Board of Directors"/"BoD" in relation to Transferor Company and/or Transferee Company, as the case may be, shall, unless it is repugnant to the context or otherwise, include a committee of directors or any person authorized by the board of directors or such committee of directors to take any decision for the implementation of the Scheme on behalf of the Board of Directors;

f. "Clause" means a clause in the Scheme of respective parts.

g. "Effective Date" means the date on which the certified or authenticated copies of the order(s) sanctioning the Scheme passed by the Hon'ble NCLT (as defined below) is filed with the Registrar of Companies, Gujarat at Ahmedabad.

h. "Income Tax Act"/ "IT Act": shall mean the Income Tax Act, 1961, as may be amended from time to time and any statutory modification or re-enactment thereof.

i. "Hon'ble NCLT"/ "Tribunal" means the Ahmedabad Bench of the National Company Law Tribunal.

j. "Governmental Authority" means any applicable central, state or local government, legislative body, regulatory or administrative authority, agency or commission or committee or any court, tribunal, board, bureau, instrumentality, judicial or quasi-judicial or arbitral body having jurisdiction over the territory of India;

k. "RoC" or "Registrar of Companies" means Registrar of Companies, Gujarat, Ahmedabad;

l. "Scheme" or "the Scheme" or "this Scheme" means this Scheme of Amalgamation in its present form submitted to the Hon'ble NCLT for sanction or with any modification(s) made under this Scheme and/or any modification(s) approved or imposed or directed by the Hon'ble NCLT and includes the merger of the Transferor Company with Transferee Company in such a manner that all the assets and Liabilities of Transferor Company become the assets and Liabilities of Transferee Company and Transferor Company ceases to exist forthwith without the process of winding up. Without prejudice to the generality of above sub-clause, Scheme shall include transfer of entire business of the Transferor Company as on the Appointed Date, on a going concern basis and includes the following:

   i. all the assets, whether movable (including shares, debentures, etc.) or intangible (including Goodwill), real or personal, corporeal or incorporeal, in possession or reversion, present, future or contingent, of whatsoever nature and wherever situated, intellectual property rights and all other claims, estates, interests, goodwill, powers, properties, rights and titles of every description of, or relating to, the Transferor Company as on the Appointed Date (collectively, "Assets");

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For Himson Knitting Industries Private Limited

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ii. all the debts, duties, liabilities and obligations of any and every description of, or pertaining to, the Transferor Company as on the Appointed Date, whether provided for or not in the books of account of the Transferor Company and whether disclosed or undisclosed in their balance sheets (collectively, "Liabilities").

iii. all permits, rights, entitlements and other licenses, bids, tenders, letters of intent, expression of interest, certifications, municipal permissions, approvals, consents, no objection certificates, statutory registrations obtained originally including any renewals/modifications/amendments thereafter, from any and all regulatory and statutory authorities, ownership rights, goodwill, licenses, leases, and tenancies in relation to office and residential properties for the employees, benefit of any deposits, privileges, all other rights and exemptions and other benefits of any application made therefore, right to use and avail of telephones, telexes, facsimile connections and installations, and other communication facilities, power lines, water pipelines and all other utilities and services of every kind, nature and description whatsoever held by the Transferor Company or to which the Transferor Company is entitled to as on the Appointed Date;

iv. Investment: investments of the Transferor Company in the form of shares, scrips, stocks, bonds, debentures, debenture stock, units or pass through certificates and other securities and instruments, including all rights, interest and entitlement in relation thereto and rights and options exercised and application or subscription made for or in relation thereto.

v. all records, files, papers, computer programs, drawings, manuals, data catalogues, and advertising materials, lists of present and former customers and vendors, customers' and vendors' credit information, customers and vendors pricing information and other records of every kind, nature and description whatsoever held by the Transferor Company or to which the Transferor Company is entitled to as on the Appointed Date;

vi. all present and future liabilities (including contingent liabilities);

vii. all taxes including (but not limited to) accumulated business losses, Unabsorbed Depreciation, Capital Losses, Minimum Alternate Tax Credit as defined under Income Tax Act, 1961 paid under sections 219, 140A, 199, 115JAA/115JB or such other sections of the Income Tax Act, duties, cess of whatsoever nature refundable/ receivable to the Transferor Company from any statutory/ government authority including but not limited to professional tax, service tax, VAT, excise duty, Goods and Service Tax (GST), etc; and

viii. all other interests, provisions, benefits and advantages of agreements, contracts, deeds, leases, allotments, arrangements, authorizations, concessions, easements, engagements, exemptions, liberties and all other

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Director

For Swayambhu Leasing and Finance Limited
Director

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interests wheresoever situated, belonging to or in the ownership, power or possession and under the control of or vested in or granted in favour of or enjoyed by or arising to the Transferor Company.

m. "The Transferee Company" means Himson Knitting Industries Private Limited.

n. "The Transferor Company" means Swayambhu Leasing And Finance Limited.

o. "Shareholders" with reference to the Transferor Company or Transferee Company means persons holding equity shares in the Transferor Company in physical form and whose names are entered and registered as members in the Register of Members of the Transferor Company as on the Record Date.

p. "Memorandum of Association"/ "MOA" in relation to the Transferor Company and the Transferee Company, as the case may be, means the memorandum of association of such Company as amended up to date;

q. "New Equity Shares" shall mean the equity shares to be issued to members of the Transferor company consequent on amalgamation;

r. "Record Date" means the date to be fixed by the Board of Director of the Transferee Company, for the purposes of issue and allotment of equity shares to the members of Transferor Company as may be applicable and relevant in accordance with this Scheme;

For Swayambhu Leasing and Finance Limited
Director

For Himson Knitting Industries Private Limited
Director

INTERPRETATIONS:

In this Scheme, unless the context otherwise requires:

a. All terms and words not defined in this Scheme shall, unless repugnant or contrary to the context or meaning thereof, have the same meaning ascribed to them under the Act, Income Tax Act, Indian Accounting Standards, other Applicable Laws, rules, regulations, bye-laws, as the case may be or any statutory modification or re-enactment thereof from time to time.

b. Words denoting singular shall include plural and vice versa;

c. headings and bold type face are only for convenience and shall be ignored for the purposes of interpretation;

d. references to the word "include" or "including" shall be construed without limitation;

e. a reference to an article, clause, section, paragraph or schedule is, unless indicated to the contrary, a reference to an article, clause, section, paragraph or schedule of this Scheme;

f. reference to a document includes an amendment or supplement to, or replacement or novation of, that document; and

g. references to a person include any individual, firm, body corporate (whether incorporated or not), Government, state or agency of a state or any joint venture, association, partnership, works councilor, employee representatives body (whether having separate legal personality or not).

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h. references to any of the terms, taxes, duty, levy, cess in the Scheme shall be construed as reference to all of them whether jointly or severally.

i. word(s) and expression(s) elsewhere defined in the Scheme will have the meaning(s) respectively ascribed to them.

j. references to dates shall be construed to be references to Indian dates;

k. any reference to any statute or statutory provision shall include:

i. all subordinate legislations made from time to time under that provision (whether amended, modified, re-enacted or consolidated from time to time or not) and any retrospective amendment; and

ii. such provision as from time to time amended, modified, re-enacted or consolidated (whether before or after the filing of this Scheme) to the extent such amendment, modification, re-enactment or consolidation applies or is capable of applying to the matters contemplated under this Scheme and (to the extent liability there under may exist or can arise) shall include any past statutory provision (as amended, modified, re-enacted or consolidated from time to time) which the provision referred to has directly or indirectly replaced.

DATE OF TAKING EFFECT AND OPERATIVE DATE: The Scheme set out herein in its present form or with any modifications approved or imposed or directed by the Hon'ble NCLT shall be effective from the Appointed Date but shall be operative from the Effective Date.

SHARE CAPITAL:

For Swayambhu Leasing and Finance Limited Director

For Himson Knitting Industries Private Limited Director

The Share Capital of the Transferor Company as at 31st March, 2020 is as under:

Particulars	Rupees
Authorized Capital 5,00,000 (Five Lakh) equity shares of Rs.10/- (Rupees Ten only) each.	50,00,000/-
Issued, Subscribed and Paid – up 4,80,000(Four Lakh Eighty Thousand) equity shares of Rs.10/- (Rupees Ten only) each.	48,00,000/-

Subsequent to the above Balance Sheet date and till the approval of the Scheme by the Board of Director of the Transferor Company, there is no change in the Share Capital structure set out above.

The Share Capital of the Transferee Company as at 31st March, 2020 is as under:

Particulars	Rupees
Authorized Capital 1,00,000(One Lakh) equity shares of Rs.100/- (Rupees Hundred only) each.	1,00,00,000/-
Issued, Subscribed and Paid – up 34,251 (Thirty Four Thousand Two Hundred Fifty One) equity shares of Rs.100/- (Rupees Hundred only) each.	34,25,100/-

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Subsequent to the above Balance Sheet date and till the approval of the Scheme by the Board of Director of the Transferee Company, there is no change in the Share Capital structure set out above.

PART III

3. AMALGAMATION OF TRANSFEROR COMPANY WITH THE TRANSFEREE COMPANY

a) **TRANSFER AND VESTING:** With effect from the Appointed Date and upon this Scheme coming into effect, the Transferor Company shall stand merged with and be vested in the Transferee Company, as a going concern, without any further act or instrument and pursuant to the provisions of the Act, together with all the assets, rights, liabilities (if any), benefits and interest therein, as more specifically described in the subsequent clauses of this Scheme.

i) With effect from the Appointed Date, and subject to any corrections and adjustments as may be required, in the opinion of the Board of Directors of the Transferee Company, the Reserves and Surplus if any, of the Transferor Company will be merged with those of the Transferee Company in the same form and nomenclature as they appeared in the financial statements of the Transferor Company, except as stated elsewhere in the Scheme.

ii) With effect from the Appointed Date, the assets as represent investments, registered and / or held in any form by or beneficial interest wherein is owned by the Transferor Company, the same shall stand transferred / transmitted to and be vested in and / or be deemed to have been transferred / transmitted to and vested in the Transferee Company, together with all rights, benefits and interest therein or attached thereto, without any further act or deed and thereupon the Transferor Company shall cease to be the registered and / or the beneficial owner of such investments. The Transferor Company shall be deemed to be holding such investments for and on behalf of and in trust for and for the benefit of the Transferee Company and all profits or dividends and other rights or benefits accruing / paid / distributed on such investments and all taxes thereon, or losses arising or expenses incurred relating to such investments, shall, for all intent and purposes, be treated as the profits, dividends, rights, benefits, taxes, losses or expenses, as the case may be, of the Transferee Company.

iii) It is expressly provided that in respect all liabilities, debts, duties and obligations of the Transferor Company (if any) shall, without any further act or deed, also stand transferred to the Transferee Company, pursuant to the applicable provisions of the Act, so as to become as from the Appointed Date, the liabilities, debts, duties and obligations of the Transferee Company. All debts, liabilities, duties and obligations of the Transferor Company as on the Appointed Date, whether or not provided in the books of the Transferor Company, and all debts and loans raised, and duties, liabilities and obligations incurred or which arise or accrue to the Transferor Company on or after the Appointed Date till the Effective Date, shall be deemed to be and shall become the debts, loans raised, duties, liabilities and obligations incurred by the Transferee Company by virtue of this Scheme.

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For Swayambhu Leasing and Finance Limited

Director

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Director

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iv) Upon the coming into effect of the Scheme, benefits of all taxes paid including but not limited to MAT paid under Section 115JA/115JB of the IT Act, advance taxes and tax deducted at source, right to carry forward and set off unabsorbed losses and depreciation, MAT credit under the provisions of the IT Act, right to claim deductions under applicable provisions of the IT Act including its continuing benefits, by the Transferor Company from the Appointed Date, regardless of the period to which they relate, shall be deemed to have been paid for and on behalf of and to the credit of the Transferee Company as effectively as if the Transferee Company had paid the same and shall be deemed to be the rights/claims of the Transferee Company. All unavailed credits, set offs, claims for refunds under any State/ Central statutes regardless of the period to which they may relate, shall stand transferred to the benefit of and shall be available in the hands of the Transferee Company without restrictions under the respective provisions.

v) All copyrights, designs, trademarks, service marks, know-how, technical know-how, trade names, descriptions, trading style, franchise, labels, label designs, colour schemes, utility models, holograms, bar cedes, patents, copyrights, and other industrial or intellectual property rights of any nature whatsoever and licenses, privileges in respect thereof, of every kind, nature and description whatsoever of the Transferor Company or to which the Transferor Company is entitled or which may accrue to the Transferor Company shall, pursuant to the provisions of the Act, without any further act, instrument or deed, be and stand transferred to and vested in and or be deemed to have been transferred to and vested in and be available to the Transferee Company so as to become as and from the Appointed Date, all the patents, copyrights, designs, trademarks, service marks, know-how, technical know-how, trade names, descriptions, trading style, franchise, label, designs, colour scheme, utility models, holograms, bar codes, patents, copyrights, and industrial or intellectual property rights, licenses and privileges of the Transferee Company and shall remain valid, effective and enforceable by the Transferee Company on the same terms and conditions.

For Himson Knitting Industries Private Limited
Director

vi) Upon the Scheme becoming effective, and with effect from the Appointed Date, all the assets of the Transferor Company including sundry debtors, investments and other financial assets, receivables, bills, outstanding loans and advances, bank balances, deposits etc. shall stand transferred to and vested in the Transferee Company, pursuant to the provisions of the Act without requirement of any notice or other intimation to any person, to the end and intent that right of the Transferor Company to recover or realize the same stands transferred to the Transferee Company at its sole and absolute discretion, and without being obliged and if it so deems appropriate, give notice in such form as it may deem fit and proper to each person, debtor or depositee that pursuant to the Scheme sanctioned by the Hon'ble NCLT, the said debt, receivable, bill, loan, advance or deposit stands transferred and vested in the Transferee Company and the same be paid to or made good to or held on account of the Transferee Company.

For Swayambhu Leasing and Finance Limited
Director

vii) All licences, permissions, approvals, consents, certificates, registrations, no objections, clearances, concessions, exemptions or rights granted to, issued to or executed in favour of the Transferor Company, shall pursuant to the provisions of the Act, stand transferred or vested in favour of the Transferee Company as if the same were originally granted to, issued to or executed in favour of the Transferee Company, and shall be appropriately transferred or

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assigned by the concerned statutory authorities in favour of the Transferee Company pursuant to this Scheme.

viii) The benefit of all statutory and regulatory permissions, consents, registration or other licences, and consents shall vest in and become available to the Transferee Company pursuant to the Scheme.

ix) On and from the Effective Date, and thereafter, the Transferee Company shall be entitled to operate all bank accounts of the Transferor Company and realize all monies and complete and enforce all pending contracts and transactions so far as may be necessary until the transfer of rights and obligations of the Transferor Company to the Transferee Company under this Scheme have been formally given effect to under such contracts and transactions.

b) **TAX NEUTRALITY:** This Scheme has been drawn up to comply with the conditions relating to "Amalgamation" as specified under Section 2 (1B) of the Income Tax Act, 1961 or any statutory modification or re-enactment thereof if any terms or provisions of the Scheme are found or interpreted to be inconsistent with the provisions of the Tax Laws at a later date including resulting from an amendment of law or for any other reason whatsoever upto the Effective Date, the provisions of the Income Tax Act, 1961 or re-enactment thereof shall prevail and the Scheme shall stand modified to the extent determined necessary to comply with Section 2 (1B) of the Income Tax Act, 1961 or re-enactment thereof.

c) **INTER-SE TRANSACTIONS**: All inter se transactions between the Transferor Company and the Transferee Company as may be outstanding on the Appointed Date or which may take place subsequent to the Appointed Date and prior to the Effective Date, shall stand automatically extinguished and cancelled and cease to operate upon the coming into effect of this Scheme.

d) **EMPLOYEES:** There are no employees employed in the Transferor Company; hence this Scheme will not be prejudice.

e) **CONTRACTS, BONDS AND OTHER INSTRUMENTS**: Subject to other provisions contained in the Scheme, all contracts, bonds, debentures, indentures and other instruments to which the Transferor Company is a party subsisting or having effect immediately before the Effective Date shall remain in full force and effect against or in favour of the Transferee Company, as the case may be, and may be enforced as fully and as effectually as if, instead of the Transferor Company, the Transferee Company had been a party thereto.

f) **LEGAL PROCEEDINGS** : If any, suit, writ petition, appeal, revision or other proceedings (hereinafter called "the Proceedings") by or against the Transferor Company is pending, the same shall not abate, be discontinued or be in any way prejudicially affected by reason of the transfer of the business of the Transferor Company or of anything contained in the Scheme, but all such proceedings may be continued, prosecuted and enforced by or against the Transferee Company in the same manner and to the same extent as it would be or might have been continued, prosecuted and enforced by or against the Transferor Company as if the Scheme had not been made. On and from the Effective Date, the Transferee Company shall and may initiate any legal proceedings including criminal proceedings for and on behalf of any of the Transferor Company.

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Director

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g) **TRANSACTIONS BETWEEN APPOINTED DATE AND EFFECTIVE DATE:**

With effect from the Appointed Date and upto and including the Effective Date:

i. The Transferor Company shall be deemed to have been carrying on and shall carry on all business and activities relating to the Undertakings and stand possessed the assets so to be transferred, for and on account of and in trust for the Transferee Company.

ii. all incomes, profits, benefits and incentives accruing to the Transferor Company or losses arising or incurred by it relating to the Undertakings shall, for all purposes, be treated as the incomes, profits, benefits and incentives or losses, as the case may be, of the Transferee Company;

iii. The Transferee Company shall have the right to claim refund of payment of the taxes arising on account of transactions entered into between the Transferor Company and the Transferee Company between the Appointed date and the Effective date.

iv. The Transferor Company hereby undertakes, from the Appointed date up to and including the Effective Date — (a)to carry on the business of the Undertakings with reasonable diligence and business prudence and not to borrow alienate, charge, mortgage, encumber or otherwise deal with or dispose of the Undertakings or any part thereof, or to undertake any new business or a substantial expansion of its existing business except with the prior written consent of the Transferee Company. (b) not to utilise the profits, if any, relating to the Undertakings for the purposes of declaring or paying any dividend in respect of the period falling on and after the Appointed Day without obtaining prior approval of the Transferee Company.

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Director

v. Books and Records: All Books and Records, to the extent possible and permitted under applicable laws, be handed over by Transferor Company to and shall become the property of the Transferee Company.

h) **CONSIDERATION AND ISSUE OF SHARES BY THE TRANSFEREE COMPANY** Upon the Scheme becoming finally effective, the authorised share capital of the Transferee Company shall stand sub-divided from Rs. 100/- each to Rs. 10/- each and the issued, subscribed and paid up share capital of the company shall also stand at 3,42,510 equity shares of Rs. 10/- each. The Board of Directors of the Transferee Company consequent on sanction of the scheme of amalgamation, shall appoint a record date for surrender of the old share certificates of Rs. 100/- each for exchange of 10 new equity shares of Rs. 10/- each for every 1 old equity share of Rs. 100/- each.

For Swayambhu Leasing and Finance Limited
Director

Upon the scheme becoming finally effective, in consideration of the transfer and vesting of the Transferor Company in the Transferee Company in terms of the Scheme, the Transferee Company shall subject to the provisions of the Scheme and without any further application or deed, issue New Equity Share and allot 1 (one) Equity Share of Rs. 100/-each, credited as fully paid-up in the capital of the Transferee Company for every 196.40 equity shares of the Transferor Company to all Equity Shareholders of the Transferor Company whose names appear in the Register of Members, on a record date to be fixed by the Board of the Transferee Company.

In the event that the equity shares to be issued results in fractional entitlements, the Board of directors of the Transferee Company shall be

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empowered to consolidate and/or round off such fractional entitlements into whole number of equity shares to an integer in a manner to ensure that only 2444 number of fully paid equity shares of Rs. 100/- each are issued to the shareholders of the Transferor Company. Since the equity shares of Rs. 100/- each of the Transferor Company is sub-divided upon the sanction of the Scheme into equity shares of Rs. 10/- each, the Transferee Company shall allot 24440 equity shares in total to the shareholders of the Transferor Company.

The equity shares of the Transferee Company to be issued and allotted as above shall be subject to the Memorandum and Articles of Association of Transferee Company and shall rank *pari-passu* with the existing equity shares of Transferee Company in all respects.

Pursuant to the Scheme, the shares of the Transferor Company held by its equity shareholders (both in physical form), shall, without any further application, act, instrument or deed, be deemed to have been automatically cancelled. The said equity shares of Transferor Company held in physical form shall be deemed to have been automatically cancelled without any requirement to surrender the certificates for shares held by the shareholders of the Transferor Company.

The approval of this Scheme by members of the Transferee Company shall be deemed to be due compliance with the applicable provisions of the Act including Section 61, 62 and other applicable provisions of the Act for sub- division, for the issue and allotment of equity shares by the Transferee Company to the members of the Transferor Company as provided in the Scheme.

i) **ACCOUNTING TREATMENT**: The amalgamation shall be accounted for in the books of account of the Transferee Company according to the 'Pooling of Interests Method' of accounting as per the Accounting Standard (AS) 14/ as per Appendix C of Indian Accounting Standard (IND AS) 103 for Business Combinations prescribed under section 133 of the Companies Act, 2013, as notified under the Companies (Indian Accounting Standard) Rules, 2015, as may be amended from time to time such that, 'Accounting for Amalgamations' issued by the Institute of Chartered Accountants of India.

Upon the Scheme becoming effective and with effect from the Appointed Date, for the purpose of accounting for and dealing with the value of the assets and liabilities in the books of the Transferee Company, the Transferee Company shall record all the assets and liabilities of the Transferor Company transferred to and vested in the Transferee Company pursuant to this Scheme, at their respective book values as appearing in the books of the Transferor Company.

The Transferee Company shall preserve the identity of the reserves of the Transferor Company transferred to and vested in the Transferee Company and shall record in its books in the same form in which they appear in the books of the Transferor Company.

If at the time of amalgamation, the Transferor Company and the Transferee Company have conflicting accounting policies, a uniform accounting policy shall be adopted by the Transferee Company following the amalgamation. The effect on the financial statements of any change in accounting policies shall be reported in accordance with applicable Accounting Standard 5, 'Prior Period and Extraordinary Items and changes in accounting policies'.

For Swayambhu Leasing and Finance Limited

Director

For Himson Knitting Industries Private Limited

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If there is a surplus arising as a result of the difference, if any, of the value of the assets over the value of the liabilities of the Transferor Company, in accordance with this Scheme, the same shall be credited to the Capital Reserve Account of the Transferee Company and in the event of deficit, if any, the same shall be debited to the Goodwill Account of the Transferee Company.

In case of any differences in the accounting policies between the Transferor Company and the Transferee Company, the impact of the same till the Appointed Date of amalgamation will be quantified and adjusted in the Free/General Reserves of the Transferee Company to ensure that the financial statements of the Transferee Company reflects the financial position on the basis of consistent accounting policies.

j) **INCREASE IN AUTHORISED SHARE CAPITAL AND ALTERATIONS THERETO IN MOA AND AOA OF THE TRANSFEREE COMPANY:** Upon the Scheme becoming effective, the authorised share capital of the Transferee Company in terms of its MOA and AOA shall automatically stand enhanced without any further act, instrument or deed on the part of the Transferee Company, by the amount of authorised share capital of the Transferor Company and the consent of the shareholders to the Scheme shall be deemed to be sufficient for the purposes of effecting this amendment, and no further resolution(s) under Sections 13,14, 61, 64 and any other applicable provisions of the Act would be required to be separately passed. For this purpose, the filing fees and stamp duty already paid by the Transferor Company on authorised share capital shall be utilized and applied to the increased share capital of the Transferee Company, and shall be deemed to have been so paid by the Transferee Company on such combined authorised share capital and accordingly, the Transferee Company shall not be required to pay any fees / stamp duty on the authorised share capital so increased.

For Himson Knitting Industries Private Limited
Director

Subsequent to enhancement of authorized share capital of the Transferee Company as contemplated herein, existing clause V of the Memorandum of Association of the Transferee Company (pertaining to authorized share capital) shall, without any further act, instrument or deed, be and stand altered, modified and amended pursuant to Sections 13, 14, 61 and other applicable provisions of the Act as the case may be and be replaced by the following clause:

"The Authorized Share Capital of Company is Rs. 1,50,00,000/- comprising of 15,00,000 Equity Shares of Rs. 10/- each."

k) **AMENDMENT TO THE OBJECT CLAUSE OF THE MOA AND AOA OF THE TRANSFEREE COMPANY:** The MOA of the Transferee Company shall stand altered and amended by the addition of the main objects clauses of the Transferor Company, in the main objects clause of the Transferee Company, as Clauses without any further act or deed or following the procedure laid down under the Act and the Transferee Company shall be deemed to be authorised to commence such business as laid down in the following amended objects:

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To carry on business comprising all activities connected with manufacture of art-silk cloth or other fabrics from yarn; and to carry on business as manufacturers of and dealers in all kinds of man-made and synthetic fabrics; and to carry on business of weaving, twisting, printing, processing, dyeing, knitting and weaving and to carry on all activities connected with converting synthetic yarn into final products; and to carry on business of manufacturing,

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processing, bleaching, dyeing, printing, knitting, weaving connected with any of fibre such as art-silk, cotton, wool, jute and synthetic (yarns) and dealing in all kinds of fabrics;

To undertake and carry on the business of Equipment Leasing, Leasing of immovable and movable properties of all kinds and description and right, title and interest therein and Leasing of all kinds of goods and articles (including Plants, Machinery, Vehicles, Ships, Vessels, Air-crafts, Apparatuses and Computers) whether required for consumption or for commercial, industrial or business use or for any purpose whatsoever. And to carry on the business of leasing, letting on hire, hire purchase or easy payment system for movable and or immovable properties including godowns, sheds, buildings, stores, flats, warehouses, shops, hotels, factories, garages, plants and machines, equipment, apparatus, instruments, appliances, furniture, fixtures, fittings, utensils, tools, vehicles, earth moving machines installations. And to carry on the business of financial and investment consultants, finance brokers, stock brokers, underwriters, registrars, issue house, portfolio management and to invest or subscribe for purchase or otherwise acquire and sell, dispose of, exchange, hold and otherwise deal in shares or other securities issued by any company or any authority Central, State, Municipal Local or otherwise.

Upon this Scheme becoming effective, it shall be deemed that the shareholders of the Transferee Company have also resolved and accorded relevant consents as applicable under Section 13 of the Act. It is further clarified that there will be no need to pass a separate shareholders' resolution as required under Section 13, 14 and other applicable provisions of the Act for the amendments of the MOA/AOA of the Transferee Company as above. Pursuant to this Scheme, the Transferee Company shall file the requisite forms with the ROC, for amending the main objects in MOA/ AOA in accordance with this clause of this Scheme.

The Transferee Company shall take steps for suitable alterations in the MOA/ AOA including to consolidate or sub-divide the capital of the company and to divide the shares in the capital for the time being into several classes and to attach thereto respectively such preferential, deferred, qualified or special rights, privileges or conditions as may be determined by or accordance with the AOA for the time being and to verify, modify or abrogate any such rights, privileges or condition in such manner as may for the time being be permitted by the Act or provided by the AOA of the Company for the time being so as to enable it to implement this Scheme as may be required.

SAVING OF CONCLUDED MATTERS: The transfer and vesting of the assets and the liabilities in the Transferee Company and the continuance of contracts or proceedings by or against the Transferee Company as provided in this Scheme shall not affect any contract or proceedings relating to the assets and the liabilities, fully performed and completed by the Transferor Company before the Appointed Date and the Transferee Company accepts and adopts all such acts, deeds, matters and things done and/or executed by the Transferor Company in this regard.

m) **DISSOLUTION OF THE TRANSFEROR COMPANY**: Upon this Scheme becoming effective, without any further act, instrument or deed, the Transferor Company shall stand dissolved without winding-up, and the Board of Directors of the Transferor Company shall without any further

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Director

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act, instrument or deed stand dissolved. Upon the Scheme taking effect, the resolutions, if any, of the Transferor Company, which are valid and subsisting on the Effective Date, shall continue to be valid and subsisting and be considered as resolutions of the Transferee Company and if any such resolutions have any monetary limits approved under the provisions of the Act, or any other applicable statutory provisions, then the said limits shall be added to the limits, if any, under like resolutions passed by the Transferee Company and shall constitute the aggregate of the said limits in the Transferee Company.

PART – IV

4. **THE GENERAL TERMS AND CONDITIONS AS APPLICABLE TO THIS SCHEME**

a. **APPLICATIONS TO NCLT:** The Transferor Company and the Transferee Company hereto shall, with all reasonable efforts dispatch, make joint applications to Hon'ble NCLT and/or applicable authority under Sections 230 to 232 of the Act for sanctioning the Scheme of Amalgamation and for dissolution of the Transferor Company without winding up or connected therewith, as necessary.

b. **MODIFICATIONS/AMENDMENTS TO THE SCHEME:** Notwithstanding anything to the contrary contained in this Scheme, the Transferor Company and the Transferee Company may make or assent, from time to time, to any modifications, amendments, clarifications or confirmations to this Scheme, which they deem necessary and expedient or beneficial to the interests of the stakeholders and / or as may be approved or imposed or directed by the respective shareholders and / or creditors and / or by the Hon'ble NCLT. The Transferor Company and the Transferee Company shall be authorised to take all such steps and give such directions, as may be necessary, desirable or proper, to resolve any doubts, difficulties or questions that may arise in regard to and of the meaning or interpretation of this Scheme or implementation thereof or in any manner whatsoever connected therewith, whether by reason of any directive or orders of the Hon'ble NCLT , Governmental Authority, howsoever arising out of or under or by virtue of this Scheme or any matter concerned or connected therewith and to do and execute all acts, deeds, matters and things necessary for giving effect to this Scheme. For the purpose of giving effect to this Scheme or to any modifications or amendments thereof or additions thereto, the Transferor Company and the Transferee Company may give and are hereby authorised to determine and give all such directions as are necessary and such determination or directions, as the case may be, shall be binding on all parties, in the same manner as if the same were specifically incorporated in this Scheme.

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c. **REVISION OF ACCOUNTS AND TAX FILINGS:** Upon this Scheme becoming effective and from the Appointed Date, Transferee Company is expressly permitted to revise and file their respective income tax returns and other statutory returns, including tax deducted at source returns, Goods and service tax (GST) returns service tax returns, as may be required / applicable and expressly reserved the right to make such revision in their returns and to claim refunds or credits etc. Such returns may be revised and filed notwithstanding that the statutory period for such revision and filing may have lapsed.

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d. **SCHEME CONDITIONAL ON APPROVALS/ SANCTIONS**

The Scheme is conditional upon and subject to the following:

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i. The Scheme being agreed to by the requisite majority of the respective classes of members and creditors of the Transferor Company and of the Transferee Company as required under the Act and the requisite orders of the Hon'ble NCLT being obtained; and

ii. Approval of concerned regulators, if any as required under the applicable regulations for merger of the Transferor Company into Transferee Company;

iii. The approval to the Scheme by the requisite majority of the members and creditors of the Transferor Company and of the members and Secured and Unsecured creditors of the Transferee Company related to the Scheme, as may be necessary or desirable, including approval to the issue and allotment of Equity Shares in the Transferee Company to the members of the Transferor Company.

iv. The authenticated/certified copies of the orders of the Hon'ble NCLT sanctioning this Scheme being filed with the ROC.

e. **EFFECT OF NON RECEIPT OF APPROVALS/ SANCTIONS:** Notwithstanding anything to the contrary contained herein, the non-receipt of approvals or conditions enumerated in the Scheme not being obtained or complied with, or for any other reason, the Scheme cannot be implemented, the Boards of Directors of the Transferee Company and the Transferor Company shall mutually waive such conditions as they consider appropriate to give effect, as far as possible, to this Scheme and the same shall not affect the effectiveness of this Scheme.

f. **REVOCATION AND WITHDRAWAL OF THIS SCHEME:** The Board of Directors of the Transferor Company and the Transferee Company shall be entitled to revoke, cancel, withdraw and declare this Scheme to be of no effect at any stage, but before the Effective date, and where applicable re-file, at any stage in case (a) this Scheme is not approved by the Hon'ble NCLT or if any other consents, approvals, permissions, resolutions, agreements, sanctions and conditions required for giving effect to this Scheme are not received or delayed; (b) any condition or modification imposed by the Hon'ble NCLT and / or any other authority is not acceptable; (c) the coming into effect of this Scheme in terms of the provisions hereof or filing of the drawn up order(s) with any Governmental Authority could have adverse implication on either of the Transferor Company and the Transferee Company; or (d) for any other reason whatsoever, and do all such acts, deeds and things as they may deem necessary and desirable in connection therewith and incidental thereto. On revocation, cancellation or withdrawal, this Scheme shall stand revoked, cancelled or withdrawn and be of no effect and in that event, no rights and liabilities whatsoever shall accrue to or be incurred inter se between the Transferor Company and the Transferee Company or their respective shareholders or creditors or any other person, save and except in respect of any act or deed done prior thereto as is contemplated hereunder or as to any right, liability or obligation which has arisen or accrued pursuant thereto and which shall be governed and be preserved or worked out in accordance with the applicable law and in such case, each party shall bear its own costs, unless otherwise mutually agreed.

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Director

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Director

g. **SEVERABILITY:** If any part of this Scheme is held invalid, ruled illegal by any Governmental Authority of competent jurisdiction, or becomes

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unenforceable for any reason, whether under present or future laws, then it is the intention of the Transferor Company and the Transferee Company that such part of the Scheme shall be severable from the remainder of this Scheme and this Scheme shall not be affected thereby, unless the deletion of such part of the Scheme shall cause this Scheme to become materially adverse to either the Transferor Company and the Transferee Company, in which case the Transferor Company and the Transferee Company shall attempt to bring about a modification in this Scheme, as will best preserve for the parties the benefits and obligations of this Scheme, including but not limited to such part of the Scheme.

h. **COST AND EXPENSES CONNECTED WITH THE SCHEME:** All costs, charges, taxes including duties, levies and all other expenses of the Transferor Company and the Transferee Company respectively in relation to or in connection with the Scheme and of carrying out and implementing/completing the terms and provisions of the Scheme and/or incidental to the completion of the Scheme of the Transferor Company in pursuance of the Scheme shall be borne and paid solely by the Transferee Company.

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Director

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Director

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Annexure "B"

SCHEME OF AMALGAMATION (IN THE NATURE OF MERGER) OF SWAYAMBHU LEASING AND FINANCE LIMITED ("TRANSFEROR COMPANY" OR "SLFL") WITH HIMSON KNITTING INDUSTRIES PRIVATE LIMITED ("TRANSFEREE COMPANY" OR "HKIPL") AND THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS UNDER SECTION 230 TO 232 OF THE COMPANIES ACT 2013

SCHEDULE - B (PART-A) DETAILS OF THE IMMOVABLE PROPERTY(IES)

NIL

SCHEDULE - B (PART-B) DETAILS OF THE INVESTMENTS

Capitalised terms used herein and not otherwise defined shall have the respective meanings ascribed to such terms in the Scheme unless the context other requires.

With effect from the Appointed Date, the below assets represented as Investments, registered and/or held in any form by or beneficial interest wherein is owned by the Transferor Company, the same shall stand transferred/transmitted to and be vested in and/or be deemed to have been transferred/transmitted to and vested in the Transferee Company.

Sr. No.	Description of assets	Unit of measurement	Quantity	Value (in Rs.)
1.	Tax free bond of Power Finance Corporation Ltd.	Number	-	10,00,000/-
2.	Equity shares of Bharat Earth Movers Ltd.	Number	200	33,000/-
3.	Equity shares of Gujarat State Finance Corporation Ltd.	Number	2300	46,000/-
4.	Equity shares of Indian Oil Corporation Ltd.	Number	1256	21,690/-
5.	Equity shares of Llyods Finance Ltd.	Number	150	23,435/-
6.	Equity shares of The Parag Bosmi Synthetics Ltd.	Number	90000	9,00,000/-
7.	Equity shares of The Sandesh Ltd.	Number	100	10,000/-
8.	Equity shares of Precision Fasteners Ltd.	Number	300	38,595/-
			Total	**20,72,720/-**

For Swayambhu Leasing and Finance Limited

Director

For Himson Knitting Industries Private Limited

Director

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